

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

NOVA Group ("the Group") is engaged in the trading of fashionable clothes and accessories and has been listed on the Hong Kong Stock Exchange for years. The Group receives purchase orders from customers who are mainly in Europe and the United States, and outsources the manufacturing of fashionable clothes and accessories to mainland China. The Group is responsible for checking and ensuring that all final products comply with customers' specifications, quantity, and quality and are then shipped to overseas customers from mainland China directly. Since the Group has established a long-term business relationship with the customers and manufacturing plants, the Group has been doing very well in the fashionable clothes and accessories industry. The management team of the Group has been working in the fashionable clothes and accessories industry for many years, and they know the industry very well, so they have not formally set up a risk management department to monitor and manage economic, financial, and non-financial risks of the Group. The management understands the importance of credit control and accounts receivable collection from overseas customers. All new and existing customers are given credit terms based on company background checks, credit assessment, and payment histories. All credit terms are reviewed by the sales director monthly, and any deviation of credit terms must be reported to the sales director for special approval. Sales managers are paid monthly commissions based on monthly sales revenue to motivate sales managers to achieve monthly sales targets. All sales managers report to the sales director, who will receive an annual bonus if sales managers are able to achieve monthly and annual sales targets.

Due to the poor business situation, sales managers want to sell more products to increase their sales commissions that are calculated and paid monthly based on monthly sales revenue. The finance director notes that there have been deteriorations in accounts receivable collection days and increases in write-offs of doubtful debts. Therefore, the finance director has started an investigation of individual accounts and has found that some sales managers increase the credit limit and lengthen the payment term for their favoured customers without authorisation so that they can sell more products to the customers. A few sales managers do not even conduct credit checks and offer favourable trade credits and longer payment terms to new customers. Some customers have even claimed that they have never ordered products from the Group or have returned all products to the Group although the Group has already paid sales commissions to relevant sales managers who have resigned. The sales director has not been aware of the situation, and the finance director is not able to assess the realisation of these accounts receivable and the extent of losses of these sales commissions to the Group.

Due to the arrival of the e-business era, the Group has set up a subsidiary, namely NOVA Online, to operate the e-business portal of a fashionable clothes and accessories online business to business ("B2B") business with existing and new overseas customers. The competition in B2B business has been very keen and has created downward pressure on pricing. Due to the adverse influence of trade protectionism, such as the imposition of trade tariffs and quotas, the economic recession and the outbreak of pandemic, the B2B business of NOVA Online has been deteriorating over the past two years. The global recession and the increase in unemployment rates have significantly reduced demand for fashionable clothes and accessories. The majority of overseas customers have been cutting their online purchase orders, and some overseas customers have even closed down their businesses due to the adverse impact of the outbreak of pandemic. Some customers have had difficulty settling their accounts on times. NOVA Online has just closed their books for 2020 and the following are extracts from the management accounts of NOVA Online for the years 2019 and 2020.

	2020	2019
	<u>US\$</u>	<u>US\$</u>
Current assets	1,000,000	600,000
Net non-current assets	580,000	590,000
Current liabilities	600,000	400,000
Long-term debts at 5% p.a. ^{Note 1}	2,000,000	500,000
Net (loss)/ profit before tax	(260,000)	230,000
Cash balance, opening	200,000	30,000
Net cash used in investing activities	(50,000)	(100,000)
Net cash provided by financing activities	100,000	20,000
Cash balance, ending	10,000	200,000

Note 1 40% of the long-term debts at year end of 2020 are due in 2021 and 20% of the long-term debts at year end of 2019 are due in 2020. These have not been reclassified in the financial statements. Assume annual interest expenses are calculated based on year end balances of long-term debts.

Given the business performance of NOVA Online, the Group is considering the restructuring of NOVA Online from B2B business to business to consumer ("B2C") business to sell products directly to consumers. The management believes that the B2C business can turnaround the business of NOVA Online based on existing net assets of NOVA Online. The Group has also decided to take up the long-term debts of US\$2,000,000 of NOVA Online as at year end of 2020 so it can have a fresh start. During the conversion from B2B business to B2C business, net non-current assets amounting to US\$200,000 will become redundant. The Group estimates that the EBIT after restructuring is 20% of the net assets of NOVA Online as at year end 2020 after the repayment of the long-term debts by the Group and redundancy of net non-current assets. The B2C business will grow at a risk free rate of 5% with systematic risk at 0.5 while the market return is 10%. The current tax rate is 16.5%.

Question 1 (12 marks – approximately 22 minutes)

The Group is struggling with business and financial risks. Using the enterprise risk management framework, advise on how the Group could use the framework to monitor and manage the business and financial risks of the Group.

(12 marks)

Question 2 (10 marks – approximately 17 minutes)

Identify three types of ethical conflicts related to the sales, accounts receivable, and sales commission issues in the Group and propose possible solutions to resolve those ethical conflicts.

(10 marks)

Question 3 (16 marks – approximately 29 minutes)

Acting as finance director of the Group, prepare a memo to the Board of Directors to evaluate the external competitive environments and the financial performance of the Group contributing to the poor business and financial performance of the NOVA Online B2B business. Support the financial performance evaluation with calculations.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

(16 marks)

Question 4 (12 marks – approximately 22 minutes)

The Group is considering conducting a valuation on the proposed NOVA Online B2C business before they implement the restructuring of NOVA Online from a B2B business to a B2C business. Calculate the value of the new NOVA Online B2C business using three relevant business valuation models. Recommend the most favourable valuation method that should be used by the Group.

(12 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (18 marks – approximately 32 minutes)

Sharp Progress Limited (the "Company") is a cosmetic distributor based in Hong Kong which distributes various Korean brand cosmetics in Asian markets including Hong Kong, mainland China and Singapore. All of their sales are made to Asian markets' retailers, and all sales are indent sales where the Company does not hold any inventory. The Company is mainly responsible for distributing make up and skin care products to retailers in the above markets, and the Company is also responsible for market development including engaging local agencies for arranging advertising and promotion in the above markets. The products are shipped directly from the Korean cosmetics manufacturers to the retailers and the Company then bills the retailers in the respective local currencies with 60 days credit terms. The Company will pay the suppliers for their purchases in Korean Won ("KRW") and the credit terms granted to the Company is 60 days; however the Company can pay their suppliers in 30 days in order to enjoy an extra early settlement discount of 0.6%. The Company will pay the marketing agencies directly in the respective local currencies with 30 days credit terms and the operating costs of the Company, such as rent and salary, will be paid in the same month when they are incurred.

Below is the high-level budgeted statement of profit or loss of the Company from October 2021 to March 2022 presented in HK dollars with the following average budget exchange rates:

RMB/HKD = 1.1
SGD/HKD = 5.7
HKD/KRW = 150

HK\$'000	<u>Quarter 4 - 2021</u>			<u>Quarter 1 - 2022</u>		
	Oct	Nov	Dec	Jan	Feb	Mar
Sales by markets						
- Hong Kong	15,000	13,000	20,000	15,000	11,000	12,000
- Mainland China	22,000	16,500	19,800	18,700	14,300	17,600
- Singapore	6,840	8,550	13,110	9,120	5,700	5,130
Cost of goods sold	21,920	19,025	26,455	21,410	15,500	17,365
Advertising and promotion spending in local markets						
- Hong Kong	1,350	1,170	2,600	1,350	990	1,080
- Mainland China	1,980	1,485	1,980	1,683	1,430	1,584
- Singapore	616	770	1,442	821	513	462
Operation expenses	3,500	3,500	4,000	3,800	3,800	3,800
EBITDA	14,474	12,100	16,433	13,756	8,767	10,439

Required:

- (a) Prepare the cash flow forecast presented in various local currencies for 2022 quarter 1 (January to March of 2022). Assume the Company has sufficient cash for each currency, so the Company is not required to perform any currency conversion in that period.
(10 marks)
- (b) In order to improve working capital, the Company is considering extending their accounts payable by not taking the early settlement discount and sticking with the 60 days credit terms. Assume the average monthly purchase is about KRW 3 billion and the borrowing rate from the bank for the Company is 5% p.a.. Recommend whether the Company should cancel the early settlement discount or not. Recommend two more options for the Company to improve their working capital.
(5 marks)
- (c) In past years, the Company distributed 100% of their free cash flow to equity. However the Company would like to reduce their dividend payout this year to reserve more liquidity for some new projects such as developing a new market as well as starting an e-commerce business. Advise on what actions the Company should take before communicating to their shareholders properly.
(3 marks)

Question 6 (16 marks – approximately 29 minutes)

Grandstar Limited ("Grandstar") is a property developer listed on the Hong Kong Stock Exchange. Grandstar develops various property projects in Asia including mainland China, Hong Kong, and Singapore. Grandstar would like to raise long-term financing to finance a potential acquisition of a target company, Galaxy Limited ("Galaxy"), who is listed on the Hong Kong Stock Exchange with a latest valuation of HK\$600 million. However, the management of Grandstar understands that the major shareholders of Grandstar are unable to provide further financing for Grandstar and they do not prefer that their interests in Grandstar be diluted as well.

Therefore, Grandstar is exploring issuing bonds and would like to issue a bond with an 8% coupon and a face value of HK\$100. Interest is paid semi-annually, and the bond has three years to maturity and is redeemable by Grandstar. Grandstar believes that the yield to maturity of the bond could be benchmarked against one of the perpetual bonds issued by its competitor, KF Property Limited ("KF"). Although the maturity is different, after adjusting the debt to equity ratio and various factors the yield to maturity of KF's perpetual bond would be the same as that of the bond Grandstar is going to issue. The latest quote of the bond issued by KF is stated below. Assume the coupon has just been paid and there are no accrued interests.

Currency	Issuer	Coupon (%)	Maturity (mm/dd/yyyy)	Face Value	Bid	Offer	Last	Coupon Payment	Redeemable
HKD	KF Property Limited	7.50%	Perpetuity	100	91.46	94.94	91.46	Annually	Yes

Required:

- (a) Calculate the number of bonds needed to be issued in order to finance the acquisition. Provide your answer to 2 decimal places. (8 marks)
- (b) Recommend other financing options to Grandstar if:
- (i) the major shareholders are able to provide further financing for Grandstar but do not wish their interests in Grandstar to be diluted; or
 - (ii) the major shareholders are unable to provide further financing but they accept their interests in Grandstar to be diluted. (4 marks)
- (c) After obtaining the fund, Grandstar started planning for the acquisition of 65% shares of Galaxy. It agreed with the major shareholder who held 51% shares of Galaxy on a valuation at HK\$600 million, which is a 60% premium comparing with the latest market capitalisation (based on the last closing price) of Galaxy at HK\$375 million. Grandstar management is considering reducing the total cost of this acquisition by limiting the offer to the major shareholders only and buying the remaining 14% share from the market at market price until reaching the acquisition target of 65% shares of Galaxy.

Advise the management of Grandstar whether the above acquisition plan complies with the relevant codes in Hong Kong.

(4 marks)

Question 7 (16 marks – approximately 29 minutes)

Ashley is a member of HKICPA and works as the head of investor relations of a Hong Kong based company, Glory Limited ("the Company"), which is listed on the Main Board of the Hong Kong Stock Exchange. Ashley has worked and built a good relationship with the analysts of various fund houses who have invested in the Company. However, the Chief Financial Officer ("CFO") always criticises Ashley and says she has underperformed as she focuses on building relationships with those analysts of fund houses instead of the "sell side" and "buy side" of the financial institutions, as the response to the last few rounds of debt and equity offerings were very bad. The CFO worries the Company might have difficulties raising funds in the long run. However, Ashley believes that building relationships with the financial institutions shall be the role of the treasury function instead of investor relations, and she blames the Company for not having a designated treasury expert.

When Ashley analysed the financial statements of the Company for dealing with the queries from their investors, she was aware that the impairment assessment of the Company had been calculated based on a very aggressive assumption. As a result, she believed the impairment losses of the Company had been significantly understated. She discussed the case with the auditor and CFO, but both of them refused to address the problem by providing a prior year adjustment.

Required:

- (a) Advise the Company how to enhance their finance department structure in order to improve its fund-raising capabilities. (5 marks)
- (b) Besides reporting the case to HKICPA, recommend which regulatory bodies Ashley could approach regarding the impairment issues she identified and justify your recommendation. (6 marks)
- (c) Advise how a better governance structure according to the Corporate Governance Code of the Main Board Listing Rules is able to help the Company to better manage the risks on financial misstatement and to monitor the performance of the auditors. (5 marks)

* * * END OF EXAMINATION PAPER * * *